

Table 45.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by subtracting the lowest low from the highest high in the island. Add the difference to the highest high for island bottoms, and subtract the difference from the lowest low for island tops. The result is the target to which price should rise (for bottoms) or fall (for tops). The bottom portion of the table shows the success rate of the measure rule using various heights.
Watch trendlines	Trendlines, when pierced, can signal a trend change. Should an island reversal appear near a trendline, wait for price to close beyond the trendline before investing.
Tips	See text.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half height target	94%	91%	81%	80%
Percentage reaching full height target	82%	75%	62%	61%
Percentage reaching 2× height	63%	42%	39%	40%
Percentage reaching 3× height	50%	29%	26%	31%

Measure rule, targets. The table describes how to use the height of the pattern and add the height to upward breakouts or subtract it from downward breakouts to get a price target. If the downward target is below